

SELF-ATTRIBUTION BIAS: BEHAVIORS THAT CAN CAUSE INVESTMENT MISTAKES

1. Self-attribution investors can, after a period of successful investing (such as one quarter or one year) believe that their success is due to their acumen as investors rather than to factors out of their control. This behavior can lead to taking on too much risk, as the investors become too confident in their behavior.
2. Self-attribution bias often leads investors to trade more than is prudent. As investors believe that successful investing (trading) is attributed to skill versus luck, they begin to trade too much, which has been shown to be “hazardous to your wealth.”
3. Self-attribution bias leads investors to “hear what they want to hear.” That is, when investors are presented with information that confirms a decision that they made to make an investment, they will ascribe “brilliance” to themselves. This may lead to investors making a purchase or holding an investment that they should not.
4. Self-attribution bias can cause investors to hold underdiversified portfolios, especially among investors that attribute the success of an company’s performance to their own contribution, such as corporate executives, board members, and so on. Often, the performance of a stock is not attributed to the skill of an individual person, but rather many factors, including chance; thus, holding a concentrated stock position can be associated with self-attribution and should be avoided.

Gervais and Odean, in an excerpt from “Learning to Be Overconfident,” summarized their approach and their findings:

In assessing his ability, the trader takes too much credit for his successes. This leads him to become overconfident. A trader’s expected level of overconfidence increases in the early stages of his career. Then, with more experience, he comes to better recognize his own ability. An overconfident trader trades too aggressively, thereby increasing trading volume and market volatility while lowering his own expected profits. Though a greater number of successes indicate greater probable ability, a more successful trader may actually